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Research

United States

Office | Q3 2026

San Francisco

- AI firms and growing tenant demand are helping to push leasing activity to levels last seen in 2019, which is helping drive total vacancy to drop by 4.3 percentage points year over year to 30.8%.
- In a continuation of startups' preference to lease space outside the CBD, nearly half of the 2.9 million s.f. of positive absorption year-to-date landed outside the CBD.
- Tightening premium space with views and decreasing large plug-and-play blocks are helping push market rents upward, with direct asking rents up to $74.20 from $72.95 last quarter.

Fundamentals		Forecast
YTD net absorption	2.94 million s.f.	↑
Total vacancy	30.8%	↓
Class A direct asking rent	$79.05 p.s.f.	↑
Overall direct asking rent	$74.20 p.s.f.	↑
Concessions	Stable	→
Under development	0 s.f.	→
Preleased	-	→

San Francisco stands in the center of the AI boom, making it increasingly important for firms as they compete for talent and intellectual property. Companies inside and outside the city are looking to grow or establish a foothold, pushing total demand for SF office space to 10 million s.f., or about 12% of inventory. That demand has driven leasing to 11.5 million s.f. on a trailing 12-month average, which reflects leasing activity reached in 2019. Overall, more tenants are seeking new space (80% versus 75% a year ago) and signing longer terms, up about two months on average, reflecting growing confidence in the office market. AI firms continue to drive positive occupancy gains in San Francisco. Year to date, AI firms have continued have leased 3.3 million s.f., exceeding last year's total of 2.3 million s.f.

Availability has fallen nearly 6 million s.f. year over year to 29.5 million s.f. (roughly 29% of inventory), with the sharpest declines in Jackson Square, North Waterfront, and Mission Bay. Citywide, positive absorption is nearing 3 million s.f. year to date, bringing vacancy down to 30.8%. Nearly half has landed outside the North and South Financial districts, putting Showplace Square, Mission Bay, Jackson Square and SOMA among the fastest recovering submarkets.

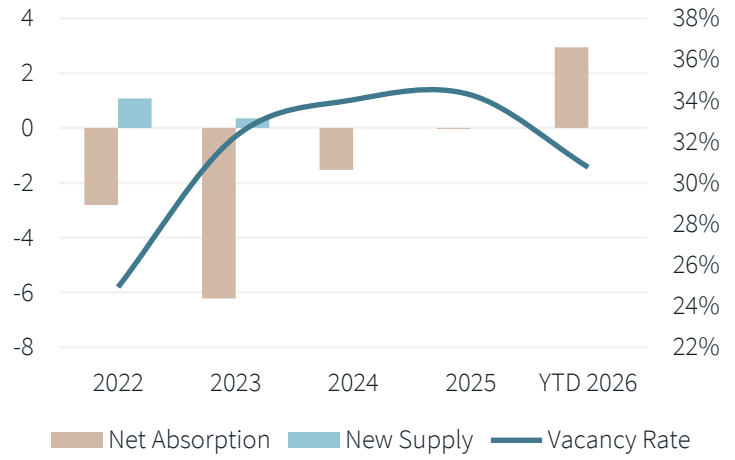
Premier top-floor space are increasingly scarce, with only 42,000 s.f. available in floors 30 and above with 'bridge-to-bridge' views. The share of the market renting in the $60 to $80 range has climbed to 44% from 33% a year ago, helping push starting rents of closed deals up 17% year over year.

Outlook

Citywide vacancy should decrease to under 30% by year-end, a 5.4-percentage-point drop from a year ago, supported by strong demand fundamentals and continued absorption across both CBD and non-CBD submarkets.

Historical supply and demand trends

s.f. (millions)



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